Question 2: The Impact of Foreign Direct Investment (FDI) Flows in South-East Asia

Extract 5: Singapore in world's top 20 for trade growth potential

Singapore continues to show substantial potential for trade growth, according to a new study. The city-state made it to 16th place in the Standard Chartered Bank's new Trade20 Index, which is a list of the 20 global markets that are most rapidly improving their potential for trade to grow.

Table 1: The Trade20 Index

1. Côte d'Ivoire	6. Vietnam	11. Hong Kong	16. Singapore
2. India	7. Indonesia	12. Russia	17. Switzerland
3. Kenya	8. Thailand	13. Ghana	18. Chile
4. China	9. Oman	14. Sri Lanka	19. Turkey
5. Ireland	10. UAE	15. Bahrain	20. Philippines

This study examined 66 economies, analysing changes across three indicators: economic dynamism, trade readiness and export diversity. In contrast to most traditional trade indices that are based on a market's present performance, the Trade20 Index captures changes over time to reveal the markets that have seen the most improvement in the last decade. This shows the economies where recent positive developments may point to strong trade growth potential.

- Economic dynamism refers to whether a country is developing and innovating in new industries. It is measured by the flow of inward foreign direct investment (FDI), export volume growth and the growth of gross domestic product (GDP).

- Trade readiness refers to whether a country has the foundations to support future trade growth. This is measured by factors such as the quality of infrastructure and the ease of doing business.

- Export diversity refers to the range of goods and services produced and exported. It is measured by the number of different types of products exported.

Singapore's ranking in the index was largely due to its economic dynamism, because of increasing levels of inward FDI. The Singapore government has been expanding the scope of its free trade agreements to keep pace with global developments. In addition, digitalisation is improving Singapore's information and communications sector, while infrastructure improvements are the focus of investment activity. The city-state is implementing long-term policies that will put it in a strong position to cope with the uncertainties of escalating global trade tensions and it is also introducing new technology such as the Networked Trade Platform that will further improve the ease of doing business.

Elsewhere in South-east Asia, Vietnam has substantial trade growth potential. This is because it has engaged in liberalising its economy. It performed particularly well with regard to its trade readiness. This was due to improvements to infrastructure and the ease of doing business.

Both Singapore and Vietnam are being driven by export-oriented manufacturing, growing trade between regions, strong domestic demand, close trading ties with China, and healthy job markets.

Source: The Business Times, 23 September 2019

Extract 6: Economists see Vietnam as a bright spot amid growing global trade tensions

Vietnam is expected to be one of the world's fastest growing economies in 2019, and a key destination for manufacturers relocating due to trade tensions between the United States (US) and China. With strong domestic demand and increasing FDI, 6.7% growth in GDP is forecast in 2019, similar to the official growth target of 6.8%. Monetary policy is likely to remain helpful, with economists expecting the central bank to keep the base interest rate steady at 6.25% for the rest of the year.

As US–China trade tensions continue and tariffs reduce China's exports, manufacturers have had to consider shifting production to other locations – with Vietnam as one key alternative. Several public infrastructure development projects, including construction of new roads and expressways and development of the logistics sector are expected to be completed before 2030 enabling Vietnam to compete with other countries in the Greater Mekong region (Cambodia, China, Laos, Myanmar, Thailand and Vietnam itself) to become ASEAN's distribution hub. Labour costs in Vietnam also remain relatively low compared with China and Thailand. Minimum wages in Vietnam range from US$126 to US$180 per month across different regions, which is 38% to 54% of that in China (US$332 per month).

FDI flows into Vietnam rose by 9.1% in 2018 to reach US$19.1 billion. For 2019, Vietnam's FDI is on track to exceed US$20 billion as multinational enterprises divert operations from China.

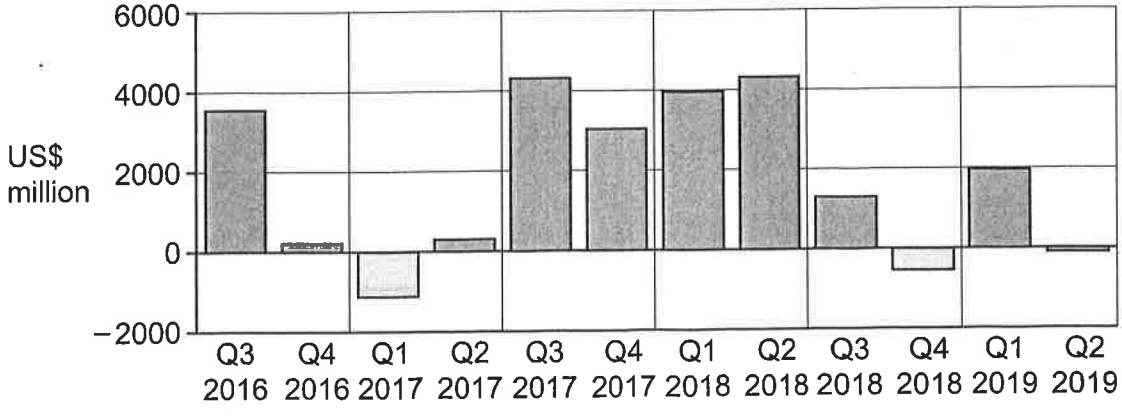
In 2019 so far, China has been the largest contributor to Vietnam's FDI inflows, contributing nearly 25% of the total. This suggests that the impact from US–China trade tensions that arose in the first half of 2018 is having a significant effect on China-based manufacturers.

Nearly 75% of FDI inflows to Vietnam in 2019 so far have been concentrated in manufacturing. This is unlike in previous years, where FDI was more evenly distributed across industries.

Since mid-2018 when trade tensions began, Vietnam's exports to the US have been growing faster than its overall exports. There is rising concern that the US might impose tariffs on Vietnam's exports to the US. This is because Vietnam is the country with which the US has the sixth largest trade deficit – one that is also rising.

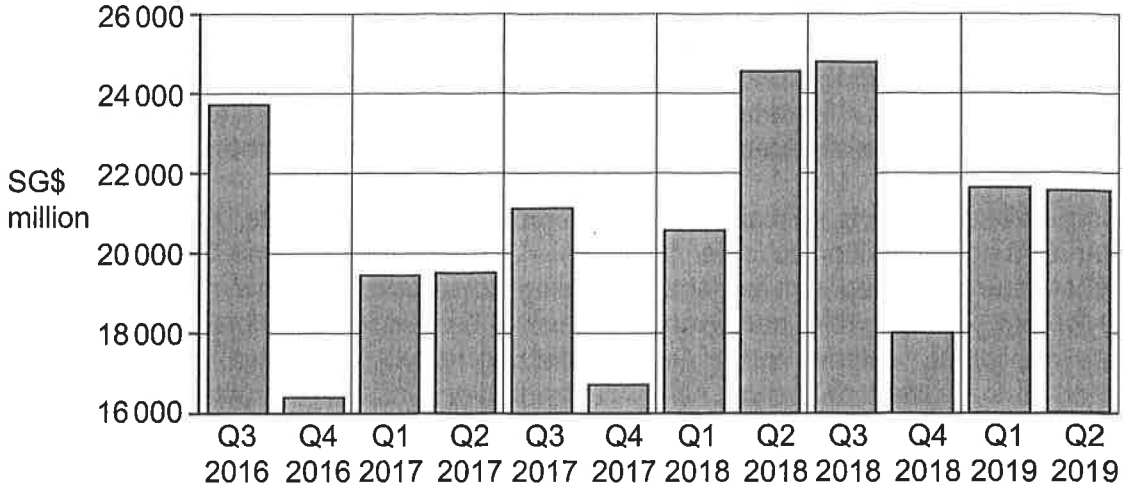
Source: The Business Times, 22 August 2019

Figure 2: Vietnam's Current Account Balance, July 2016 to July 2019



Source: tradingeconomics.com | The State Bank of Vietnam

Figure 3: Singapore's Current Account Balance, July 2016 to July 2019



Source: tradingeconomics.com | Statistics Singapore

(a) State what is meant by foreign direct investment (FDI) and identify the component of the balance of payments accounts in which FDI is recorded. [2]

(b) **(i)** Explain the opportunity cost of investment expenditure that uses domestic funds. [2]

(ii) Using a production possibility curve diagram, show the impact of infrastructure improvements in a country such as Singapore or Vietnam. [2]

(c) Explain how the current account of the balance of payments of Singapore or Vietnam is likely to be affected in the long run by increased FDI. [6]

(d) Discuss whether broad export diversity or specialisation in a narrow range of exports is more likely to be beneficial for an economy engaged in international trade. [8]

(e) Discuss whether a government should encourage domestic investment rather than investment from external sources to improve the standard of living. [10]

[Total: 30]